City Council Meeting: July 28, 2026 Santa Monica, California

RESOLUTION NUMBER _____ (CCS)

(City Council Series)

A RESOLUTION OF THE CITY COUNCIL OF THE CITY OF SANTA MONICA SUBMITTING TO THE VOTERS AT THE GENERAL MUNICIPAL ELECTION TO BE HELD ON TUESDAY, NOVEMBER 3, 2026, A MEASURE TO AMEND CHAPTER 6.68 OF THE SANTA MONICA MUNICIPAL CODE TO MAINTAIN EXISTING TRANSIENT OCCUPANCY TAX RATES; AUTHORIZE THE CITY COUNCIL TO ESTABLISH MAJOR EVENT PERIODS WHEN THE TAX APPLIES TO LODGING PAID FOR OR OBTAINED BY CORPORATIONS AND OTHER LEGAL ENTITIES FOR STAYS OVER 30 DAYS, AND TO ADJUST THE TAX RATE DURING MAJOR EVENT PERIODS TO BETWEEN 15% TO 0%; CLARIFY THAT REFUNDS REQUIRE A NATURAL PERSON TO OCCUPY THE SAME ROOM FOR THIRTY ONE CONSECUTIVE DAYS; AND AUTHORIZE ADMINISTRATIVE REGULATIONS TO ADMNISTER THE TAX, AUTHORIZING CITY COUNCIL MEMBERS TO FILE WRITTEN ARGUMENTS FOR OR AGAINST THE MEASURE, AND DIRECTING THE CITY ATTORNEY TO PREPARE AN IMPARTIAL ANALYSIS OF THE MEASURE

WHEREAS, on October 8, 1963, the City Council of the City of Santa Monica adopted Ordinance No. 625 (CCS), which established the City's Tax on Transients for Occupancy (the "TOT"), which has been codified in Chapter 6.68 of the Santa Monica Municipal Code; and

WHEREAS, the TOT is an excise tax imposed on transients for the privilege of enjoying lodging within the City; and

WHEREAS, on November 2, 2004, the voters approved Measure N, which established a TOT rate of 14% of the total charge for room rental within the City; and

WHEREAS, on November 8, 2022, the voters approved Measure CS, which established the current TOT rate of 15% for hotels and 17% for home-shares of the total charge for room rental within the City; and

WHEREAS, many residents live in the City of Santa Monica because the City invests in community priorities, offering extensive services and programs that substantially enhance the quality of life of its residents; and

WHEREAS, in alignment with the City Council's Realignment Plan, the City has been proactively preparing for a "renaissance" through strategic initiatives, including promoting major upcoming events, including activations associated with the 2026 Ocean Way Festival, the 2027 Super Bowl, and the 2028 Los Angeles Olympic and Paralympic Games; and

WHEREAS, as global interest in staying in the City intensifies, hotel package deals have emerged to meet demand from event visitors and corporate groups seeking premium accommodations over an extended period of time; and

WHEREAS, corporations have expressed interest in block booking rooms ahead of the 2028 Olympic Games and other events; and

WHEREAS, Santa Monica Municipal Code Section 6.68.010(f) defines a "transient" as "[a]ny person who, for any period of not more than thirty days either at that person's expense or at the expense of another, obtains lodging or the use of any lodging space in any hotel as hereinafter defined, for which lodging or use of lodging space a charge is made"; and

WHEREAS, corporations have inquired whether corporate block bookings exceeding 30 days fall outside the definition of "transient" and therefore are not subject to the TOT; and

WHEREAS, "person" is broadly defined as "[a]ny individual, corporation, company, association, firm, copartnership, or any group of individuals acting as a unit"; and

WHEREAS, authorizing the City Council to adjust the TOT rate between 15% and 0% for room rentals by corporations or other corporate entities regardless of length of stay during Major Event Periods provides additional flexibility to hotels and motels; and

WHEREAS, Chapter 6.68 does not preclude the City from collecting TOT for lodging paid for, obtained, controlled, or held by a corporation or other legal entity for more than 30 days is excluded from taxation under the existing provisions of Chapter 6.68; and

WHEREAS, other local jurisdictions that collect TOT, including San Francisco, have been involved in litigation over the applicability of their TOT to corporate reservations; and

WHEREAS, although the City Council intends the proposed amendments to clarify the proper application of the existing TOT, the City Council is further submitting the amendments to the voters to avoid uncertainty concerning their enforceability; and

WHEREAS, pursuant to California Elections Code Section 10403, the City Council has previously requested that the County of Los Angeles consent and agree to the consolidation of all aspects of a General Municipal Election with the Statewide General Election scheduled for Tuesday, November 3, 2026, for the purpose of electing members of the Santa Monica City Council, the Santa Monica Rent Control Board, the Santa Monica-Malibu Unified School District, and the Santa Monica Community College District.

NOW, THEREFORE, THE CITY COUNCIL OF THE CITY OF SANTA MONICA DOES RESOLVE AND PROCLAIM AS FOLLOWS:

SECTION 1. At the General Municipal Election called for November 3, 2026, the

following measure shall be submitted to the qualified electors of the City of Santa Monica:

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| MEASURE " ":<br><br>Shall the measure, which maintains the existing transient occupancy tax rates; authorizes the City Council to establish Major Event Periods, as defined, when the tax applies to lodging paid for or obtained by corporate entities for stays over 30 days, and to adjust the hotel and motel tax rate for such stays; clarifies that refunds require a natural person to complete at least thirty-one consecutive days of occupancy, and authorizes administrative regulations, be adopted? | YES _____<br><br>NO _____ |

SECTION 2. The measure shall be adopted if approved by a majority of the voters voting on the measure.

SECTION 3. That the City Clerk shall file a certified copy of this resolution with the Board of Supervisors and with the county election department of the County of Los Angeles.

SECTION 4. That the City of Santa Monica recognizes that additional costs may be incurred by the County by reason of the addition of this measure to the ballot and agrees to reimburse the County for any additional costs.

SECTION 5. The City Clerk shall transmit to the City Attorney, in accordance with applicable law, a copy of the proposed measure. The City Attorney shall prepare an impartial analysis of it, which shall not exceed 500 words in length and shall state that the measure was placed on the ballot by the City Council. The impartial analysis shall be filed

by the date set by the City Clerk for the filing of primary arguments. In accordance with applicable law, not less than 10 calendar days before the City Clerk submits the official election materials for printing, the City Clerk shall make a copy of all applicable election materials available for public examination in the City Clerk's office.

SECTION 6. The City Council authorizes its members, as follows, to file written arguments for or against the measure described above, the text of which is contained in Exhibit 1 to this Resolution, which Exhibit is incorporated by reference herein:

FOR: _____

AGAINST: _____

All written arguments filed by any person in favor of or against any measure, including any rebuttal arguments, shall be accompanied by the names and signatures of the persons submitting the argument as required by applicable law, and any names, signatures and arguments may be filed until the time and date fixed by the City Clerk in accordance with applicable law, after which no change may be submitted to the City Clerk unless permitted by law.

SECTION 7. The City Clerk shall cause the text of the measure, which is contained in Exhibit 1, together with the City Attorney’s impartial analysis, and any arguments for or against the measure, as well as any rebuttal, to be mailed to all qualified voters with the sample ballot. In addition to other notices and publications required by law, the City Clerk, not less than forty (40) days and not more than sixty (60) days before the General Municipal Election, shall cause the text of the measure to be published once in the official

newspaper and in each edition thereof during the day of publication. The City Clerk is authorized to give such notices and to fix such times and dates as are required by law or which are appropriate to conduct properly the election.

SECTION 8. The provisions of Resolution Numbers 11763 and 11764 are referred to and incorporated into this resolution for more particulars concerning the conduct of the General Municipal Election to be held on November 3, 2026, and in all respects the election shall be held and conducted as provided for by applicable law. The City Clerk is authorized and directed to procure and furnish any official ballots, notices, printed materials and all supplies or equipment that may be necessary in order to properly and lawfully conduct the election.

SECTION 9. Neither this Resolution nor the submission of the measure to the voters shall be construed as an admission or concession concerning the proper interpretation or application of the existing provisions of Chapter 6.68, and the City reserves all rights and authority to administer and enforce the existing provisions consistent with the City's interpretation of those provisions.

SECTION 10. The City Clerk shall certify to the adoption of this Resolution, and thenceforth and thereafter the same shall be in full force and effect.

APPROVED AS TO FORM:

_____
HEIDI VON TONGELN
City Attorney

# CITY COUNCIL PROPOSED MEASURE TO AMEND CHAPTER 6.68 OF THE SANTA MONICA MUNICIPAL CODE TO MAINTAIN EXISTING HOTEL TAX RATES, AUTHORIZE THE CITY COUNCIL TO ESTABLISH MAJOR EVENT PERIODS WHEN THE TAX APPLIES TO LODGING PAID FOR OR OBTAINED BY CORPORATIONS AND OTHER LEGAL ENTITIES FOR STAYS OVER 30 DAYS, AND TO ADJUST THE TAX RATE DURING MAJOR EVENT PERIODS TO BETWEEN 15% TO 0%; CLARIFY THAT REFUNDS REQUIRE A NATURAL PERSON TO OCCUPY THE SAME ROOM FOR THIRTY ONE CONSECUTIVE DAYS; AND AUTHORIZE ADMINISTRATIVE REGULATIONS TO ADMNISTER THE TAX

WHEREAS, on October 8, 1963, the City Council of the City of Santa Monica adopted Ordinance No. 625 (CCS), which established the City's Tax on Transients for Occupancy (the "TOT"), which has been codified in Chapter 6.68 of the Santa Monica Municipal Code; and

WHEREAS, the TOT is an excise tax imposed on transients for the privilege of enjoying lodging within the City; and

WHEREAS, on November 2, 2004, the voters approved Measure N, which established a TOT rate of 14% of the total charge for room rental within the City; and

WHEREAS, on November 8, 2022, the voters approved Measure CS, which established the current TOT rate of 15% for hotels and 17% for home-shares of the total charge for room rental within the City; and

WHEREAS, many residents live in the City of Santa Monica because the City invests in community priorities, offering extensive services and programs that substantially enhance the quality of life of its residents; and

WHEREAS, in alignment with the City Council's Realignment Plan, the City has been proactively preparing for a "renaissance" through strategic initiatives, including promoting major upcoming events, including activations associated with the 2026 Ocean

Way Festival, the 2027 Super Bowl, and the 2028 Los Angeles Olympic and Paralympic Games; and

WHEREAS, as global interest in staying in the City intensifies, hotel package deals have emerged to meet demand from event visitors and corporate groups seeking premium accommodations over an extended period of time; and

WHEREAS, corporations have expressed interest in block booking rooms ahead of the 2028 Olympic Games and other events; and

WHEREAS, Santa Monica Municipal Code Section 6.68.010(f) defines a "transient" as "[a]ny person who, for any period of not more than thirty days either at that person's expense or at the expense of another, obtains lodging or the use of any lodging space in any hotel as hereinafter defined, for which lodging or use of lodging space a charge is made"; and

WHEREAS, corporations have inquired whether corporate block bookings exceeding 30 days fall outside the definition of "transient" and therefore are not subject to the TOT; and

WHEREAS, "person" is broadly defined as "[a]ny individual, corporation, company, association, firm, copartnership, or any group of individuals acting as a unit"; and

WHEREAS, the existing 30-day limitation in the definition of "transient" was intended to benefit natural persons residing in hotels on a long-term basis, and not corporations or other legal entities that pay for, obtain, control, or hold rights to lodging for use by others; and

WHEREAS, a corporation, company, association, firm, partnership, or other legal

entity is not a natural person and cannot physically occupy a room; and

WHEREAS, although not a natural person, a corporation or other legal entity may pay for, obtain, control, or hold the legal right to occupancy and may sell or transfer such use rights to others for profit; and

WHEREAS, Section 6.68.040 provides a refund mechanism for room rentals when occupancy extends for 31 or more days; and

WHEREAS, clarifying that the refund mechanism in Section 6.68.040 is limited to occupancy by the same natural person for 31 or more days is consistent with existing City practices; and

WHEREAS, during the 2028 Olympic and Paralympic Games and other similar events ("Major Event Periods"), the City expects materially increased tourism and demand for hotel accommodations in the City over an extended period of time; and

WHEREAS, the City may lose significant revenue if corporate entities take the position that the City's TOT does not apply to corporate block booking during Major Event Periods; and

WHEREAS, clarifying the TOT ordinance to require that TOT must be paid by corporations or other corporate entities during Major Event Periods, as declared by the City Council, regardless of the length of stay avoids potential disputes; and

WHEREAS, authorizing the City Council to adjust the TOT rate between 15% and 0% for room rentals by corporations or other corporate entities regardless of length of stay during Major Event Periods provides additional flexibility to hotels and motels; and

WHEREAS, Chapter 6.68 does not preclude the City from collecting TOT for lodging paid for, obtained, controlled, or held by a corporation or other legal entity for

more than 30 days is excluded from taxation under the existing provisions of Chapter 6.68; and

WHEREAS, other local jurisdictions that collect TOT, including San Francisco, have been involved in litigation over the applicability of their TOT to corporate reservations; and

WHEREAS, although the City Council intends the proposed amendments to clarify the proper application of the existing TOT, the City Council is further submitting the amendments to the voters to avoid uncertainty concerning their enforceability; and

WHEREAS, pursuant to California Elections Code Section 10403, the City Council has previously requested that the County of Los Angeles consent and agree to the consolidation of all aspects of a General Municipal Election with the Statewide General Election scheduled for Tuesday, November 3, 2026, for the purpose of electing members of the Santa Monica City Council, the Santa Monica Rent Control Board, the Santa Monica-Malibu Unified School District, and the Santa Monica Community College District.

SECTION 1. Section 6.68.010 of the Santa Monica Municipal Code is amended to read as follows (new text is shown by underlining and deleted text is shown by strikeout):

**6.68.010 Definitions.**

The following words and phrases, when used in this ordinance, shall, for the purpose of this Chapter, have the following respective meanings except where the context clearly indicates a different meaning:

a) **Transient.**

1) Any natural person who ~~Any person who~~, for any period of not more than thirty days ~~either at that person's expense or at the expense of another~~, obtains lodging or the use of any lodging space in any hotel as hereinafter defined, for which lodging or use of lodging space a charge is made~~.~~; or

2) Any corporation, company, copartnership, partnership, joint venture, limited liability company, or other legal entity that pays or is obligated to pay any portion of the room rental associated with its own right of occupancy or the occupancy of another, exercises a right of occupancy, or is entitled to occupancy by reason of concession, permit, right of access, license or other agreement.

b) **Person.** Any natural person, ~~individual,~~ corporation, company, association, firm, copartnership, partnership, joint venture, limited liability company, estate, trust, business trust, receiver, trustee, syndicate, other legal entity, or any group of individuals acting as a unit.

c) **Hotel.** Any public or private hotel, inn, hostelry, tourist home or house, motel, rooming house, bed and breakfast, home-share (as defined in Santa Monica Municipal Code Section 6.20.010), or other lodging place within the City of Santa Monica offering lodging, wherein the owner and operator thereof, for compensation, furnishes lodging to any transient.

d) **Room rental.** Any charge required by any such hotel for lodging and/or lodging space furnished to any such transient, including, but not limited to, furniture, fixtures, appliances, linens, towels, non-coin-operated safes, and maid service. Room rental shall not include any amount upon which a sales or use tax is imposed with respect to the sale of food products.

e) **Director of Finance.** The Director of Finance of the City of Santa Monica.

f) **Permanent resident.** Any natural person who, as of a given date, has occupied or has had the right to occupy a room or rooms in a particular hotel, as herein defined, for the thirty consecutive days next preceding such date.

SECTION 2. Section 6.68.040 of the Santa Monica Municipal Code is amended to read as follows (new text is shown by underlining):

**6.68.040 Collection; Returns for Room Rentals of Thirty-One or More Consecutive Days.**

(a) Collection. On and after the effective date of this ordinance, every person receiving any payment for room rental with respect to which a tax is levied under this ordinance shall collect the amount of tax hereby imposed from the transient on whom the same is levied or from the person paying for such room rental, at the time payment for such room rental be made.

(b) Returns for Room Rentals of Thirty-One or More Consecutive Days.

(1) Eligible Returns. Except as provided in subsection (2), below, and Section 6.68.105, Exemptions, where ~~Where~~ the tax has been collected for room rental for thirty days or less and: (i) the room rental ~~occupant~~ subsequently ~~completes~~ extends beyond thirty ~~one~~ consecutive days ~~of occupancy~~; and (ii) the same natural person has occupied the room for 31 days or more, the person whose duty it is to collect said tax may return such tax to the occupant or person obligated to pay such tax.

(2) Ineligible Returns. When the tax was imposed during a Major Event Period on a non-natural person described in 6.68.010(a)(2), the person whose duty it is to collect said tax shall not be required to return such tax to the transient obligated to pay such tax.

(c) If said person whose duty it is to collect said tax has paid such tax over to the City, he or she may, within one year from the date of payment to the Director of Finance, and provided he or she has returned such tax as authorized above to the occupant or person obligated to pay such tax, either take credit for the tax so paid on any subsequent return filed by him or her or file a claim for refund of such tax. Such claim may be paid to such person by the Director of Finance. The taxes required to be collected hereunder shall be deemed to be held in trust by the person required to collect the same until remitted as hereinafter required.

SECTION 3. Section 6.68.030 of the Santa Monica Municipal Code is added to read as follows:

6.68.030 **Major Event Period; Council Authority to Temporarily Adjust Tax Rate**

(a) The City Council may, by resolution, establish a Major Event Period in connection with a major event or series of related events that the City Council determines is reasonably expected to materially increase tourism or demand for hotel accommodations in the City or surrounding region over an extended period of time, including, but not limited to, the 2028 Olympic and Paralympic Games. The resolution shall identify the underlying event or series of events and the beginning and ending dates of the Major Event Period. A Major Event Period may begin before and end after the underlying event or series of events.

(b) For a Major Event Period established pursuant to subsection (a), the City Council may, by resolution, temporarily adjust the transient occupancy tax rate imposed under Section 6.68.020

on transients described in Section 6.68.010(a)(2) for stays of thirty days or less, or for stays of thirty-one consecutive days or longer, to a rate between fifteen percent and zero percent. The resolution shall specify the adjusted rate, the effective beginning and ending dates of the rate adjustment, and any administrative requirements necessary to implement the reduction. The adjusted rate may apply only during all, or a portion of, the Major Event Period.

(c) A temporary rate adjustment adopted pursuant to this Section does not amend the tax rate otherwise imposed by this Chapter. Upon expiration of the temporary reduction, the otherwise applicable tax rate shall automatically resume without further action by the City Council.

SECTION 4. Section 6.68.105 of the Santa Monica Municipal Code is amended to read as follows:

6.68.105 **Additional Exemptions and Administrative Regulations.**

(a) Notwithstanding any other provision of this Chapter, the Director of Finance, or designee, may establish and administer an exemption from the tax for room rental associated with occupancy by a natural person who has occupied or had the right to occupy a room or rooms in a particular hotel for at least thirty-one consecutive days, when any portion of the room rental is paid by a person other than a natural person and the occupancy is necessitated by:

(1) displacement from a residence caused by fire, natural disaster, or other casualty;

(2) extended medical treatment; or

(3) other comparable circumstances beyond the natural person's control; or

(4) other grounds approved by the Director of Finance.

(b) The Director of Finance may adopt administrative regulations, rules, or require supporting documentation, to implement the provisions of this Chapter including, authorizing the return,

refund, or credit of tax collected or remitted with respect to a qualifying occupancy. Any claim for refund or credit shall be subject to the one-year limitation established by Section 6.68.040.